Anthropic IPO Valuation

A basic model: cash flows, growth and the discount rate

Revenue-multiple enterprise value	DCF enterprise value
$1.95 trillion	**$788.5 billion**
$195bn of 2028 revenue × 10.0x	Ten-year forecast; 12% WACC; 3% terminal growth

- Latest investor discussion is about $1.5tn; the earlier $2tn is a historical stress case.
- The assumed multiple gives a value 30.0% above that discussion; the DCF is 47.4% below it.
- December net cash remains **assumed zero**; June financing sensitivities are separate.

Information cutoff: 26 Oct 2026. Assumed valuation date: 31 Dec 2026. All values in USD. Public S-1 included. [S2, S25]

Cash-flow period: 2027–2036, then a terminal value

Explicit forecast: ten annual periods

- Forecast **unlevered free cash flow** for 2027–2036.
- Allow revenue growth and EBIT margins to converge toward maturity.
- Start the perpetual-growth phase in **2037**.

A five-year forecast would end while assumed growth is still 20%, creating a sharp maturity transition.

DCF component	PV ($bn)
2027–2036 cash flows	337.2
Terminal value	451.4
Enterprise value	**788.5**

57.2% of DCF value comes from cash flows after 2036.

The model discounts at year-end: 2027 is $t = 1$ and 2036 is $t = 10$.

2026 is a revenue anchor, not a discounted cash-flow period: the assumed valuation date is 31 Dec 2026.

Annual growth: rapid expansion, followed by a gradual fade

Year	Revenue ($bn)	Growth
2026E	64.0	Anchor
2027E	128.0	100.0%
2028E	**195.0**	**52.3%**
2029E	263.3	35.0%
2030E	329.1	25.0%
2031E	394.9	20.0%
2032E	454.1	15.0%
2033E	499.5	10.0%
2034E	534.5	7.0%
2035E	561.2	5.0%
2036E	578.0	3.0%

How growth is calculated

$$R_t = R_{t-1}(1 + g_t)$$

$$g_{2028} = \frac{195}{128} - 1 = 52.3\%$$

2028 anchor: midpoint of the reported $190–200bn company projection. [S2]

Other years: analyst assumptions. The $64bn 2026 estimate is not reported annual revenue.

Run rate $\neq$ annual revenue. A recent revenue pace cannot be substituted for full-year recognized sales.

Cash flow: convert revenue into cash available to capital providers

Unlevered free cash flow (UFCF)

$$\mathrm{UFCF}_t = \mathrm{EBIT}_t(1 - T) + \mathrm{D\&A}_t - \mathrm{Capex}_t - \Delta\mathrm{NWC}_t$$

Driver	Assumption
EBIT margin	10% → 35%
Tax on positive EBIT	25%
D&A / revenue	3%
Cash capex / revenue	8%
Operating NWC / revenue	2%

Operating compute and distribution costs enter assumed EBIT margins; contract timing is not fully modeled.

$bn	2027	2028	2036
Revenue	128.0	195.0	578.0
After-tax EBIT	9.6	29.3	151.7
D&A	3.8	5.9	17.3
Capex	(10.2)	(15.6)	(46.2)
ΔNWC	(1.3)	(1.3)	(0.3)
UFCF	**1.9**	**18.2**	**122.5**

Example: 2028 UFCF
$= 29.25 + 5.85 - 15.60 - 1.34 = 18.16.$

Rounded displayed figures. No tax-loss carryforwards or separate funding schedule. Long-term compute commitments are not deducted again as one-year capex.

Discount rate: 12% WACC, with a 10–14% sensitivity

Discounting and terminal value

$$\mathrm{EV} = \sum_{t=1}^{10} \frac{\mathrm{UFCF}_t}{(1+r)^t} + \frac{\mathrm{TV}_{2036}}{(1+r)^{10}}$$

$$\mathrm{TV}_{2036} = \frac{\mathrm{UFCF}_{2037}}{r-g}$$

$r = 12\%$**:** illustrative WACC for technology, execution and cash-flow risk. It is not an observed or CAPM-estimated company rate.

$g = 3\%$**:** mature perpetual revenue growth. Terminal EBIT margin and investment ratios stay at 2036 levels.

DCF enterprise value ($bn)

WACC / g	2%	3%	4%
10%	982.1	1,074.3	1,197.3
12%	739.8	**788.5**	849.4
14%	581.9	610.2	644.1

Lower discount rates increase the value of distant cash flows.

At zero assumed net cash, even 10% WACC / 4% growth remains below the $1.5tn equity discussion.

Sensitivity keeps the explicit operating forecast fixed. Terminal revenue, UFCF, investment and discounting recalculate for each rate pair. Require $r > g$.

What would a $1.5 trillion discussion value require?

Revenue-multiple interpretation

$$\mathrm{EV} = \$195\,\mathrm{bn} \times 10 = \$1{,}950\,\mathrm{bn}$$

$$\frac{\$1{,}500\,\mathrm{bn}}{\$195\,\mathrm{bn}} = 7.69\mathrm{x}$$

At the $195bn forecast, 8x gives $1.56tn and 12x gives $2.34tn.

The 10x base multiple is an assumption. It is not a current peer-derived median.

DCF interpretation

Holding the ten-year forecast, WACC and investment ratios fixed:

- Required 2037 UFCF: **$325.0bn**.
- Required perpetual EBIT margin: **79.5%**.

That margin is substantially above the assumed 35% terminal margin.

Supporting $1.5tn therefore requires a different growth path, earlier cash generation, lower WACC or other material assumption changes.

Zero December net cash is assumed. June balances are disclosed; conversion and financing sensitivities follow.

Conclusion and sources

Answers to the three model questions

- **Cash-flow period:** 2027–2036; terminal value from 2037.
- **Annual growth:** 100%, 52.3%, then a fade to 3% by 2036.
- **Discount rate:** 12% WACC; examine 10–14%.

Assessment: $1.95tn is consistent with the selected revenue multiple. The $788.5bn DCF shows that cash economics need much stronger assumptions to support the reported discussion value.

Public sources

S1 Anthropic, 28 May 2026: $965bn post-money Series H valuation.

S2 Reuters, Aug 2026: reported $190–200bn 2028 revenue projection.

S3 Reuters, 29 Sep 2026: approximately $2tn target and cloud-partner dependence.

S25 Anthropic public S-1, 26 Oct 2026: audited annuals, unaudited interim statements and conversion terms.

Limits: projections may change. June balances are historical; December net cash and final offer terms remain uncertain. Future funding and dilution are not fully modeled.

Calculation snapshot from the accompanying editable Excel model. Recalculate and refresh the slides after changing assumptions.

Public S-1: operating loss, net loss and cash flow

US$bn	FY2025	H1 2025	H1 2026
Revenue	4.585	1.163	16.286
Operating income (loss)	(8.060)	(2.135)	(0.693)
Net income (loss)	(41.965)	(12.969)	(80.748)
Financing fair-value loss	34.308	10.942	72.388
Operating cash flow	(2.637)	(1.513)	3.929
Cash capex	0.131	0.018	0.482

- Q1/Q2 revenue is US$4.731bn / US$11.555bn. Q3 US$16.8bn remains Reuters-reported.
- The US$64bn annual assumption requires US$30.914bn in Q4, or 84.0% sequential growth.
- H1 cash flow less cash capex is US$3.447bn; it is not the forecast's unlevered FCF.

S-1 MD&A p160; financial statements F-7/F-12. FY2025 audited; interim periods unaudited. Non-cash remeasurement and payment timing affect the cash-flow comparison.

June cash bridge: a historical sensitivity

Liquid resources US$131.651bn exclude restricted cash. Subtract US$0.443bn finance leases, then any retained Amazon note principal.

US$bn unless stated	Notes retained	Full conversion
Amazon principal deducted	6.203	0.000
Net cash proxy	125.005	131.208
DCF equity proxy	913.544	919.747
Required terminal EBIT margin	71.7%	71.3%

- Note carrying value is US$108.566bn; it is not the US$6.203bn contractual cash principal.
- Conversion is subject to Amazon's 12% ownership cap unless waived; residual notes may remain.
- No H2 cash roll-forward or IPO proceeds. These are not December cash forecasts or values allocated to existing common shares.

S-1 MD&A p164; balance sheet F-5; lease note F-35. Unchanged DCF EV US$788.5bn; margin calculation uses the US$1.5tn discussion benchmark.

Commitments and offering terms still constrain valuation

- June minimum purchase commitments: US$265.6bn. Leases not yet commenced: US$321.4bn. Separate multiyear categories, with stated conditions.
- The earlier Reuters US$518bn observation differs in date and scope. It is not a comparable growth series.
- Do not deduct all commitments as current debt or one-year capex. Operating rent stays within forecast margins.
- Offer price, proceeds, residual notes and final diluted shares remain blank. No per-share IPO price is estimated.

Public S-1, 26 Oct 2026, F-35/F-58. SEC HTML retrieval was blocked; a complete PDF conversion was inspected. Source-copy fidelity remains a limitation.